Morgan Stanley | RESEARCH

UPDATE

November 8, 2026 09:28 PM GMT

Novatek | Asia Pacific

Consumer Demand Softens as Cost Pressure Builds

AlphaSignals Earnings Reaction

Unchanged	**In-line**	**Largely unchanged**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

3Q growth led by smartphones: Revenue was NT$30.97bn, +8% Q/Q and +26% Y/Y, 7% above MSe. Net income was NT$6.08bn, -4% Q/Q and +66% Y/Y, 2% above MSe, with EPS of NT$9.99. Smartphone restocking lifted sales, but GM fell 1.53ppt Q/Q to 40.89% on a lower SoC mix and a lag in cost pass-through. Lower opex supported a 9.6% Q/Q rise in operating profit; net income declined in the absence of 2Q's NT$860mn one-off investment gain.

4Q revenue and margins seen declining sequentially: Management guided for revenue of NT$28.0-29.2bn, down 6-10% Q/Q, with GM of 37-39% and OpM of 17-19%, assuming NT$/US$32. Large DDICs should face the largest sequential revenue drop, particularly from notebooks, followed by SoC; small/medium DDICs should decrease slightly despite stronger Chinese OLED handset orders. Lower-cost inventory depletion, product mix and higher memory KGD costs will likely weigh on margins. Prices have been adjusted across SoC and DDIC products, but management still sees higher memory prices constraining consumer demand into 2027.

New products offer growth, with cost risks unresolved: Automotive eDP TDDI is scheduled for mass production in 4Q26, while touch-enabled notebook products are scheduled to ramp through 2027. OLED solutions for IT applications and higher-performance handset products broaden opportunities, although smartphone OLED DDIC shipments are expected to decline Y/Y in 2026. Management expects new products to support 2027 revenue growth but provided no quantified target or assurance of flat Y/Y margins. Further foundry and OSAT price increases remain under negotiation, leaving earnings dependent upon product mix and the pace of cost pass-through.

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Novatek (3034.TW, 3034 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Underweight**
Industry View	**Attractive**
Price target	NT$414.00
Up/downside to price target (%)	(16)
Shr price, close (Nov 6, 2026)	NT$495.50
52-Week Range	NT$608.00-352.00
Sh out, dil, curr (mn)	609
Mkt cap, curr (mn)	NT$301,518
EV, curr (mn)	NT$254,972
Avg daily trading value (mn)	NT$2,028

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	26.87	35.34	35.48	30.15
EPS (NT$)§	26.61	34.48	36.22	38.34
Revenue, net (NT$ mn)	100,663	111,396	116,130	110,283
EBITDA (NT$ mn)	19,573	24,923	26,232	22,326
P/E	13.9	14.0	14.0	16.4
P/BV	3.4	4.0	3.8	3.9
ROE (%)	24.1	31.7	28.7	23.4
Div yld (%)	6.1	6.1	6.1	5.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Novatek (3034.TW)

Base case, residual income model. Key assumptions: cost of equity constant at 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta), payout ratio of 80%, medium-term growth rate of 6.1% and terminal growth rate assumption of 3.4%.

Risks to Upside

- Faster-than-expected 8K/4K TV growth.
- Better-than-expected smartphone sell-through.
- Better-than-expected sell-through of foldable products.

Risks to Downside

- Intensified price competition in TDDI, driving Novatek's gross margin below its corporate average.
- Slower-than-expected 8K/4K TV growth.
- Slower sell-through of foldable products.

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(as of October 31, 2026)
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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

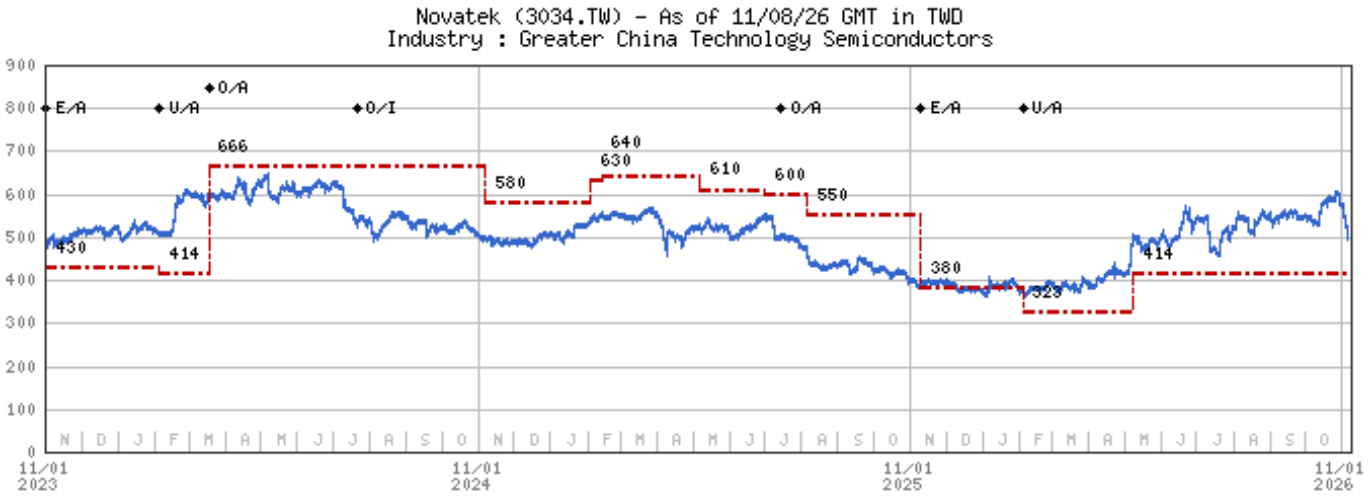
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Price Target History: 10/21/21 : 313; 5/4/22 : 272; 6/21/22 : 262; 7/12/22 : 174; 8/5/22 : 161; 2/22/23 : 390; 5/9/23 : 414; 8/8/23 : 399; 9/11/23 : 430; 2/5/24 : 414; 3/18/24 : 666; 11/6/24 : 580; 2/3/25 : 630; 2/13/25 : 640; 5/7/25 : 610; 7/1/25 : 600; 8/6/25 : 550; 11/10/25 : 380; 2/4/26 : 323; 5/8/26 : 414

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/06/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$90.30
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$2,830.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$527.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb802.90
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb40.41
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$6,205.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$384.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$70.20
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$60.95
MediaTek (2454.TW)	O (11/28/2025)	NT$3,390.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb492.54
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$343.50
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,500.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb80.81
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$389.00
SMIC (0981.HK)	O (10/21/2025)	HK$45.58
TSMC (2330.TW)	O (02/07/2022)	NT$2,135.00
UMC (2303.TW)	O (05/19/2026)	NT$92.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$120.00
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$406.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$93.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb48.81

Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb93.65
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb23.77
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb189.50
Innoscience (2577.HK)	E (10/13/2025)	HK$25.92
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb52.51
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$22.12
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb77.20
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb81.86
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb69.71
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb50.40
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb18.24
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb73.41
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$608.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,160.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$11,375.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$79.10
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$115.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$1,885.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb159.60
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb239.49
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.49
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$75.80
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$183.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb150.10
Novatek (3034.TW)	U (02/04/2026)	NT$495.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$88.90
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$385.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$52.90
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$708.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb63.30
Silicon Motion (SIMO.O)	O (05/06/2024)	US$162.76
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$120.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$90.20
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$185.50
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$44.61
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb254.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb52.33
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb560.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb86.60
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$864.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$360.50
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$512.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$3,675.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$206.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$3,445.00

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